CLOSING STATEMENT

Kingsley Suites | Oklahoma City, OK

Property	Kingsley Suites
Settlement Date	July 12, 2021
Buyer	Tidewater Core Fund
Seller	Orchid Bay Ventures
Sale Price	$51,620,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$51,620,000			
Earnest money deposit		$445,623	$445,623	
Real estate tax proration	$326,544			$326,544
Rent proration			$476,486	
Security deposits assumed	$324,694	$324,694		
Prepaid rents			$373,907	$373,907
Owner's title policy premium	$465,405			
Lender's title policy premium		$174,935	$174,935	
Escrow fee	$462,093			$462,093
Recording fees			$130,303	
Transfer tax	$324,784	$324,784		
Survey			$153,705	$153,705
Legal fees - Buyer	$164,800			
Legal fees - Seller		$496,119	$496,119	
Broker commission	$197,118			$197,118
Loan origination fee			$293,956	
Lender legal	$95,222	$95,222		
Appraisal fee			$118,413	$118,413
Environmental report	$315,995			
Property condition report		$359,321	$359,321	
Tax escrow deposit	$407,357			$407,357
Insurance escrow deposit			$289,787	
Replacement reserve deposit	$190,332	$190,332		

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$51,620,000			
Legal fees - Seller		$216,983	$216,983	
Broker commission	$245,904			$245,904
Loan origination fee			$186,092	
Lender legal	$216,988	$216,988		
Appraisal fee			$16,747	$16,747
Environmental report	$27,245			
Property condition report		$124,281	$124,281	
Tax escrow deposit	$126,275			$126,275
Insurance escrow deposit			$501,028	
Replacement reserve deposit	$31,443	$31,443		
Utility deposits			$39,325	$39,325
Assumed vendor contracts credit	$259,044			
Tenant improvement credit		$167,824	$167,824	
Courier / wire fees	$66,028			$66,028
Municipal certificates			$11,368	
Purchase price	$390,675	$390,675		
Earnest money deposit			$86,372	$86,372
Real estate tax proration	$124,662			
Rent proration		$430,242	$430,242	
Security deposits assumed	$17,310			$17,310
Prepaid rents			$493,152	
Owner's title policy premium	$481,895	$481,895		
Lender's title policy premium			$54,732	$54,732
Escrow fee	$16,848			
Recording fees		$307,927	$307,927	
Transfer tax	$366,786			$366,786
Survey			$223,786	

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Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $182,000 or approximately 44.22 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.86x on a trailing basis against a covenant minimum of 1.20x.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Valuation Discussion

Trailing twelve-month occupancy was 95.4% with an average daily rate of $164 and RevPAR indexing above the competitive set. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 30 meeting rooms. Debt service coverage ratio was 6.09x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $361,000 or approximately 29.54 per square foot, with real estate taxes representing the largest line item.

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 3 meeting rooms. Effective gross income for the trailing period was $458,000, representing a 10.9% increase over the prior year. Operating expenses totaled $432,000 or approximately 40.84 per square foot, with real estate taxes representing the largest line item. Trailing twelve-month occupancy was 96.1% with an average daily rate of $164 and RevPAR indexing above the competitive set.

Income and Expense Review

Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Debt service coverage ratio was 6.90x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.36% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. The going-in capitalization rate of 5.59% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. Effective gross income for the trailing period was $322,000, representing a 4.0% increase over the prior year. Debt service coverage ratio was 7.67x on a trailing basis against a covenant minimum of 1.20x.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$51,620,000			
Tenant improvement credit		$228,877	$228,877	
Courier / wire fees	$108,388			$108,388
Municipal certificates			$401,522	
Purchase price	$349,379	$349,379		
Earnest money deposit			$248,896	$248,896
Real estate tax proration	$92,542			
Rent proration		$39,278	$39,278	
Security deposits assumed	$144,264			$144,264
Prepaid rents			$97,455	
Owner's title policy premium	$513,753	$513,753		
Lender's title policy premium			$276,603	$276,603
Escrow fee	$68,113			
Recording fees		$81,721	$81,721	
Transfer tax	$365,046			$365,046
Survey			$203,109	
Legal fees - Buyer	$497,935	$497,935		
Legal fees - Seller			$265,170	$265,170
Broker commission	$483,859			
Loan origination fee		$170,415	$170,415	
Lender legal	$511,273			$511,273
Appraisal fee			$151,166	
Environmental report	$206,135	$206,135		
Property condition report			$19,384	$19,384
Tax escrow deposit	$479,324			
Insurance escrow deposit		$32,340	$32,340	
Replacement reserve deposit	$174,954			$174,954
Utility deposits			$45,285	

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Operating Performance

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The going-in capitalization rate of 6.74% reflects the in-place income and the stabilized occupancy assumption. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 39 meeting rooms. Debt service coverage ratio was 5.36x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $194,000, representing a 4.5% increase over the prior year.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Debt service coverage ratio was 5.24x on a trailing basis against a covenant minimum of 1.20x. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses.

Operating Performance

The going-in capitalization rate of 6.81% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $145,000, representing a 6.8% increase over the prior year. Trailing twelve-month occupancy was 92.9% with an average daily rate of $164 and RevPAR indexing above the competitive set. Debt service coverage ratio was 5.32x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Trailing twelve-month occupancy was 91.3% with an average daily rate of $164 and RevPAR indexing above the competitive set. Operating expenses totaled $48,000 or approximately 38.72 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.00% reflects the in-place income and the stabilized occupancy assumption. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Operating Performance

Effective gross income for the trailing period was $84,000, representing a 5.7% increase over the prior year. The going-in capitalization rate of 6.08% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $463,000 or approximately 45.81 per square foot, with real estate taxes representing the largest line item. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.04x on a trailing basis against a covenant minimum of 1.20x. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 36 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Operating expenses totaled $377,000 or approximately 24.56 per square foot, with real estate taxes representing the largest line item.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$51,620,000			
Recording fees		$469,405	$469,405	
Transfer tax	$80,706			$80,706
Survey			$203,096	
Legal fees - Buyer	$86,450	$86,450		
Legal fees - Seller			$78,226	$78,226
Broker commission	$302,126			
Loan origination fee		$70,467	$70,467	
Lender legal	$120,697			$120,697
Appraisal fee			$275,760	
Environmental report	$183,701	$183,701		
Property condition report			$39,357	$39,357
Tax escrow deposit	$408,364			
Insurance escrow deposit		$165,346	$165,346	
Replacement reserve deposit	$86,213			$86,213
Utility deposits			$196,043	
Assumed vendor contracts credit	$492,816	$492,816		
Tenant improvement credit			$25,570	$25,570
Courier / wire fees	$386,417			
Municipal certificates		$87,722	$87,722	
Purchase price	$202,764			$202,764
Earnest money deposit			$67,568	
Real estate tax proration	$51,295	$51,295		
Rent proration			$99,797	$99,797
Security deposits assumed	$86,692			
Prepaid rents		$405,150	$405,150	
Owner's title policy premium	$290,221			$290,221
Lender's title policy premium			$402,016	

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Operating Performance

Trailing twelve-month occupancy was 94.5% with an average daily rate of $164 and RevPAR indexing above the competitive set. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 48 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 7.41% reflects the in-place income and the stabilized occupancy assumption. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 8 meeting rooms. Debt service coverage ratio was 6.34x on a trailing basis against a covenant minimum of 1.20x. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period.

Operating Performance

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Operating expenses totaled $79,000 or approximately 34.79 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $102,000, representing a 2.5% increase over the prior year. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.17x on a trailing basis against a covenant minimum of 1.20x.

Operating Performance

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 28 meeting rooms. Management fees are calculated at 6.0% of collected revenue and are included in operating expenses. Operating expenses totaled $205,000 or approximately 45.78 per square foot, with real estate taxes representing the largest line item. Trailing twelve-month occupancy was 89.3% with an average daily rate of $164 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. Debt service coverage ratio was 7.34x on a trailing basis against a covenant minimum of 1.20x. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$51,620,000			
Insurance escrow deposit		$439,428	$439,428	
Replacement reserve deposit	$141,830			$141,830
Utility deposits			$100,355	
Assumed vendor contracts credit	$323,699	$323,699		
Tenant improvement credit			$123,440	$123,440
Courier / wire fees	$359,480			
Municipal certificates		$436,137	$436,137	
Purchase price	$463,108			$463,108
Earnest money deposit			$288,758	
Real estate tax proration	$446,787	$446,787		
Rent proration			$495,506	$495,506
Security deposits assumed	$496,553			
Prepaid rents		$456,203	$456,203	
Owner's title policy premium	$40,671			$40,671
Lender's title policy premium			$30,167	
Escrow fee	$66,051	$66,051		
Recording fees			$243,416	$243,416
Transfer tax	$375,335			
Survey		$467,500	$467,500	
Legal fees - Buyer	$43,295			$43,295
Legal fees - Seller			$333,991	
Broker commission	$62,668	$62,668		
Loan origination fee			$307,558	$307,558
Lender legal	$432,091			
Appraisal fee		$362,984	$362,984	
Environmental report	$399,412			$399,412
Property condition report			$429,357	

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Valuation Discussion

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 14 meeting rooms. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $249,000, representing a 8.3% increase over the prior year. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. Operating expenses totaled $391,000 or approximately 27.62 per square foot, with real estate taxes representing the largest line item.

Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Operating expenses totaled $153,000 or approximately 10.62 per square foot, with real estate taxes representing the largest line item. Trailing twelve-month occupancy was 96.0% with an average daily rate of $164 and RevPAR indexing above the competitive set. Effective gross income for the trailing period was $145,000, representing a 13.9% increase over the prior year.

Financial Analysis

Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 44 meeting rooms. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. Trailing twelve-month occupancy was 89.6% with an average daily rate of $164 and RevPAR indexing above the competitive set.

Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. Debt service coverage ratio was 5.36x on a trailing basis against a covenant minimum of 1.20x. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Trailing twelve-month occupancy was 92.4% with an average daily rate of $164 and RevPAR indexing above the competitive set. Operating expenses totaled $187,000 or approximately 24.88 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses.

Operating Performance

The going-in capitalization rate of 6.22% reflects the in-place income and the stabilized occupancy assumption. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 96.9% with an average daily rate of $164 and RevPAR indexing above the competitive set. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Debt service coverage ratio was 6.64x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. Trailing twelve-month occupancy was 95.8% with an average daily rate of $164 and RevPAR indexing above the competitive set. The going-in capitalization rate of 7.64% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $105,000, representing a 5.8% increase over the prior year. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Security deposits assumed	$51,620,000			
Prepaid rents		$181,416	$181,416	
Owner's title policy premium	$387,913			$387,913
Lender's title policy premium			$143,536	
Escrow fee	$163,467	$163,467		
Recording fees			$412,409	$412,409
Transfer tax	$488,475			
Survey		$84,899	$84,899	
Legal fees - Buyer	$101,336			$101,336
Legal fees - Seller			$136,185	
Broker commission	$171,462	$171,462		
Loan origination fee			$440,481	$440,481
Lender legal	$177,449			
Appraisal fee		$482,796	$482,796	
Environmental report	$160,163			$160,163
Property condition report			$208,365	
Tax escrow deposit	$149,676	$149,676		
Insurance escrow deposit			$33,745	$33,745
Replacement reserve deposit	$312,074			
Utility deposits		$492,842	$492,842	
Assumed vendor contracts credit	$58,542			$58,542
Tenant improvement credit			$442,107	
Courier / wire fees	$491,555	$491,555		
Municipal certificates			$191,673	$191,673
Purchase price	$460,224			
Earnest money deposit		$130,706	$130,706	
Real estate tax proration	$185,974			$185,974
Rent proration			$155,119	

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